

Financial Accounting

Course: CIFA — Certified Investment and Financial Analysts

Level: Foundation Level

Last updated: 29 July 2026

Syllabus version: Based on the standard KASNEB CIFA Foundation Level Financial Accounting syllabus topics — recording transactions, adjustments, and preparing financial statements, oriented toward the needs of a future investment analyst. Authored from general accounting knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

Original work notice. Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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1. The accounting equation and double entry

The accounting equation — **Assets = Liabilities + Capital** — must always balance. Every transaction is recorded using **double entry**: each transaction has a debit and an equal, corresponding credit. Debits increase assets and expenses (decrease liabilities, capital, income); credits increase liabilities, capital and income (decrease assets and expenses).

2. Books of original entry and the trial balance

Transactions are first recorded in a **book of original entry** (sales day book, purchases day book, cash book, general journal) before being posted to individual **ledger accounts**. A **trial balance** lists all ledger balances to check total debits equal total credits — a useful arithmetic check, though it does not guarantee every transaction was recorded correctly.

3. Year-end adjustments — accruals, prepayments and depreciation

Accrued expense: incurred but not yet paid, added to expense and shown as a current liability. **Prepaid expense**: paid but relating partly to a future period, removed from current expense and shown as a current asset. **Depreciation** allocates a non-current asset's cost over its useful life — **straight-line**: $(\text{Cost} - \text{Residual value}) \div \text{Useful life}$; **reducing balance**: $\text{Rate \%} \times \text{Net book value at the start of the year}$.

4. Accounting for bad debts and provisions

A **bad debt** is a specific debt confirmed irrecoverable, written off as an expense. A **provision for doubtful debts** is a general estimate (often a percentage of receivables) set aside for debts that may become uncollectible — an application of the prudence concept, ensuring receivables are not overstated.

5. The statement of profit or loss

$\text{Revenue} - \text{Cost of sales} = \text{Gross profit}$. $\text{Gross profit} - \text{Operating expenses (after adjustments)} = \text{Profit for the period}$. For an investment analyst, this statement is the primary source of information on a company's revenue growth, cost structure and profit margins.

6. The statement of financial position

Non-current assets + Current assets = Total assets. Capital + Non-current liabilities + Current liabilities = Total capital and liabilities. Total assets must equal total capital and liabilities. Analysts use this statement to assess a company's asset base, its capital structure (how much is funded by debt versus equity), and its liquidity (ability to meet short-term obligations).

7. The statement of cash flows, introduction

The **statement of cash flows** shows cash movements classified into **operating activities** (cash from core trading operations), **investing activities** (cash spent on/received from acquiring or disposing of non-current assets and investments), and **financing activities** (cash from/to owners and lenders, e.g. loan proceeds, dividend payments). Unlike profit, which includes non-cash items (e.g. depreciation) and accruals, cash flow shows the actual movement of cash — a company can be profitable on paper yet run short of cash if profit and cash flow diverge significantly.

8. Why financial accounting matters to an investment analyst

An investment analyst relies on financial statements as the foundational data for almost every subsequent analytical technique — valuation, ratio analysis, forecasting — covered later in the CIFA syllabus. Understanding exactly how a figure like "profit" or "total assets" is constructed (and which accounting choices and estimates went into it, e.g. depreciation method or provision policy) is essential to correctly interpreting and comparing companies' financial statements, rather than treating reported figures as simple, uncontested facts.

9. Full worked question — adjustments and final accounts

Scenario. At year-end: Rent expense in the trial balance is KSh 120,000, covering 12 months, of which KSh 10,000 relates to next year (prepaid). Trade receivables are KSh 250,000, and a provision for doubtful debts of 4% is to be created. Equipment cost KSh 400,000, depreciated at 12.5% per year on a straight-line basis with no residual value.

Required: (a) Compute the rent expense for the year and the prepayment carried forward. (b) Compute the provision for doubtful debts. (c) Compute the depreciation charge for the year.

Solution:

(a) Rent expense = 120,000 – 10,000 = **KSh 110,000**. Prepayment carried forward = **KSh 10,000**.

(b) Provision = $250,000 \times 4\% = \text{KSh } 10,000$ (net receivables = $250,000 - 10,000 = \text{KSh } 240,000$).

(c) Depreciation = $400,000 \times 12.5\% = \text{KSh } 50,000$ per year.

10. Practice examination — KASNEB-style paper (original, not a past paper)

Note on format. This section is laid out the way a KASNEB CIFA examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

CIFA FOUNDATION LEVEL — FINANCIAL ACCOUNTING (PRACTICE PAPER)

TIME ALLOWED: 3 HOURS

Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.

QUESTION ONE

(a) State the accounting equation and explain why it must always balance. (6 marks)

(b) Outline the FOUR common books of original entry. (12 marks)

(c) State ONE limitation of a trial balance as a check on accuracy. (2 marks)

(Total: 20 marks)

QUESTION TWO

(a) Distinguish between an accrued expense and a prepaid expense. (8 marks)

(b) A company bought equipment for KSh 600,000 with a residual value of KSh 60,000 and a useful life of 9 years. Compute the annual straight-line depreciation charge. (6 marks)

(c) Distinguish between a bad debt and a provision for doubtful debts. (6 marks)

(Total: 20 marks)

QUESTION THREE

(a) Outline the structure of a statement of profit or loss, from revenue to profit for the period. (10 marks)

(b) Outline the main elements of a statement of financial position, stating the equation that must hold. (10 marks)

(Total: 20 marks)

QUESTION FOUR

(a) Outline the THREE categories of activity in a statement of cash flows, with one example transaction for each. (15 marks)

(b) Explain why a company can be profitable yet still experience a cash shortage. (5 marks)

(Total: 20 marks)

QUESTION FIVE

(a) Explain why financial statements are foundational to investment analysis. (10 marks)

(b) Explain why an analyst should understand a company's accounting policies (e.g. depreciation method) before comparing it to another company. (10 marks)

(Total: 20 marks)

11. Marking guide — model answers to the practice examination

QUESTION ONE

(a) (6 marks) — Assets = Liabilities + Capital; balances because every transaction is recorded via double entry with an equal debit and credit.

(b) (12 marks — 3 marks each) — Sales day book, purchases day book, cash book, general journal.

(c) (2 marks) — It will still balance even if a transaction is posted entirely to the wrong accounts, provided debit and credit are equal.

QUESTION TWO

(a) (8 marks) — Accrued expense: incurred but unpaid, added to expense, shown as a current liability. Prepaid expense: paid but relating to a future period, removed from expense, shown as a current asset.

(b) (6 marks) — $(600,000 - 60,000) \div 9 = \text{KSh } 60,000 \text{ per year.}$

(c) (6 marks) — A bad debt is a specific debt confirmed irrecoverable and written off; a provision for doubtful debts is a general estimate for debts that may become uncollectible.

QUESTION THREE

(a) (10 marks) — Revenue – Cost of sales = Gross profit; Gross profit – Operating expenses = Profit for the period.

(b) (10 marks) — Non-current assets + Current assets = Total assets; Capital + Non-current liabilities + Current liabilities = Total capital and liabilities; the two totals must be equal.

QUESTION FOUR

(a) (15 marks — 5 marks each) — Operating (e.g. cash received from customers); investing (e.g. cash paid to buy equipment); financing (e.g. cash received from a bank loan or paid as dividends).

(b) (5 marks) — Profit includes non-cash items (e.g. depreciation) and accrual-based figures not yet received/paid in cash, so reported profit and actual cash movement can diverge significantly.

QUESTION FIVE

(a) (10 marks) — Financial statements provide the core data (revenue, profit, assets, cash flow) underlying almost every analytical technique used in investment analysis — valuation, ratio analysis, forecasting all build on this data.

(b) (10 marks) — Different accounting policy choices (e.g. depreciation method, provision estimates) can materially affect reported figures even for economically similar companies, so an analyst must understand these choices to make a fair, adjusted comparison rather than taking reported numbers at face value.

12. Exam technique and revision checklist

- Adjustment questions: identify clearly which portion of an expense/income relates to the current period before computing the adjusted figure.
- Depreciation questions: state the formula explicitly before substituting numbers.
- Statement structure questions: know the exact order (revenue → cost of sales → gross profit → expenses → profit; assets = capital + liabilities).
- Cash flow questions: always classify a transaction correctly into operating, investing, or financing before explaining it.
- Analysis-oriented questions ("why does this matter to an analyst"): always tie your answer back to how the concept affects an analyst's ability to interpret or compare companies' figures.

Quick revision — one line per topic:

1. Accounting equation: Assets = Liabilities + Capital.
2. Trial balance checks debits = credits, but doesn't guarantee full accuracy.

3. Straight-line depreciation: $(\text{Cost} - \text{Residual value}) \div \text{Useful life}$.
 4. Bad debt = specific, written off; provision = general estimate.
 5. Statement of profit or loss: $\text{Revenue} - \text{Cost of sales} = \text{Gross profit}$; $\text{Gross profit} - \text{Expenses} = \text{Profit}$.
 6. Statement of financial position: $\text{Assets} = \text{Capital} + \text{Liabilities}$.
 7. Cash flow categories: operating, investing, financing.
 8. Financial statements are the foundational data for investment analysis techniques.
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End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.